DISRUPTION INVESTOR

June 2025

2 disruptions you can't ignore: One from China, one at home

Hey Disruption Investors,

Let's talk China. It remains one of the most asymmetric opportunities—and threats—in the world today.

The prevailing narrative has been to dismiss it as "uninvestable." A land of copycats, real estate bubbles, and stifling state control. Wall Street had largely written it off.

But narratives, like markets, shift. And nothing changes sentiment like price.

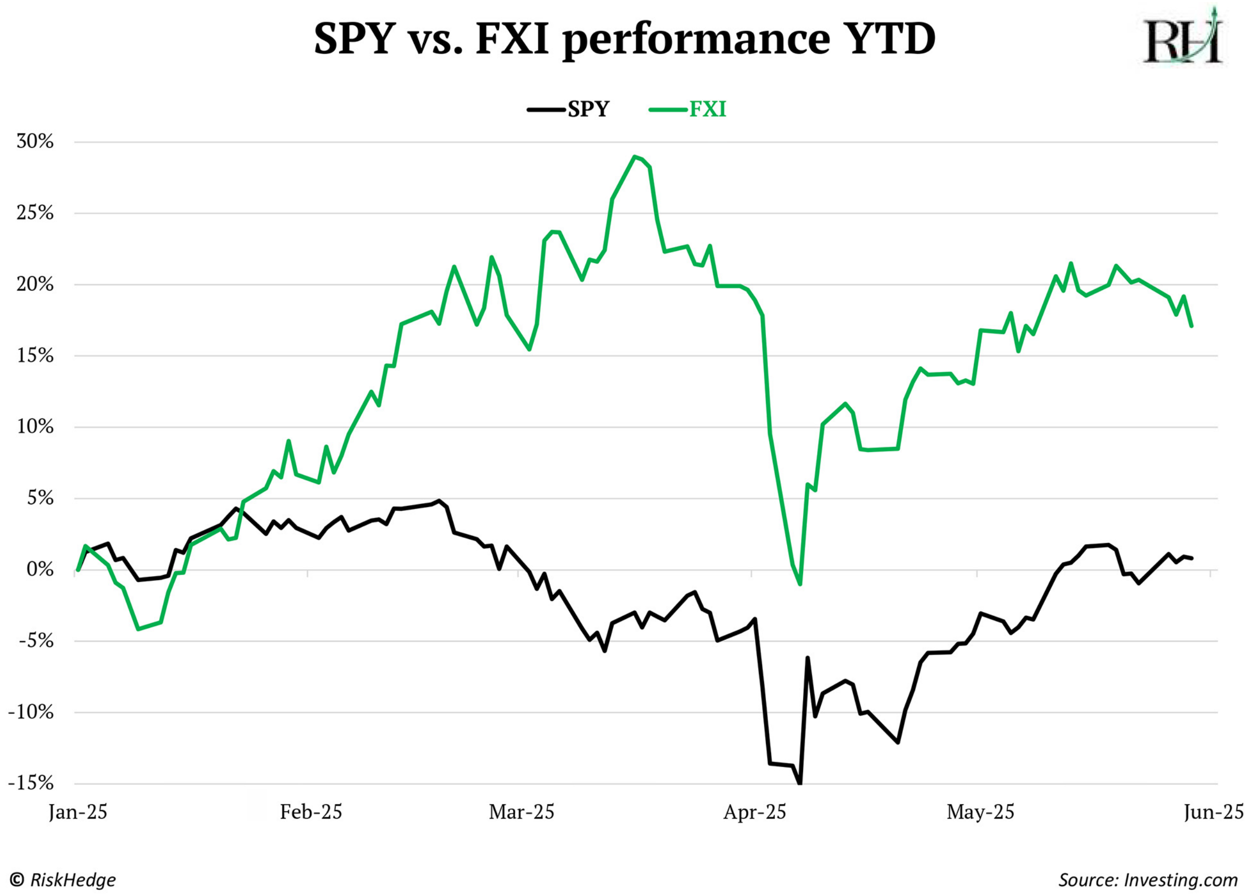
In this month's issue

Key prices

S&P 500	5,978.39
1-Month (Gain) +5.13%	
Nasdaq	19,446.50
1-Month (Gain) +8.17%	
Russell 2000	2,103.28
1-Month (Gain) +4.08%	
Dollar Index	99.23
1-Month (Loss) -0.77%	
US 10-Year Yield	4.472%

A *RiskHedge* Publication

While the S&P 500 has been sputtering year-to-date, our China ETF—the **iShares China Large-Cap ETF (FXI)**—has jumped 17%. We've been ahead of this curve, and our goal is to keep you there.



This isn't a "sell America" call. The US is still the beating heart of global innovation and home to the world's best innovators. Chris will have more on a specific homegrown disruptor below that we're adding to the portfolio.

But the crucial point is that America is no longer the *only* game in town when it comes to groundbreaking tech. Therein lies our big opportunity.

As I (Stephen) said back in March, "Buy China, seriously." Even if you choose not to invest a single dime there, you *must* understand the competitive threat Chinese companies now pose to your portfolio.

The CEO of diamond monopoly De Beers recently said on Bloomberg TV, "A natural diamond is created over a billion years under the surface of the earth, whereas a lab-grown diamond is created in a microwave in China over three weeks."

Chinese innovation is crushing a century-old monopoly. That, my friends, is pure disruption.

"China" feels like a word that short-circuits investors' brains. I hate communism and state control more than anyone. But our job as investors is to see clearly and make money. You can cherish American freedom and *still* recognize that China is now building world-dominating companies.

Yet Chinese valuations remain dirt cheap. As one friend put it, "No one owns China." Which means *everyone* can.

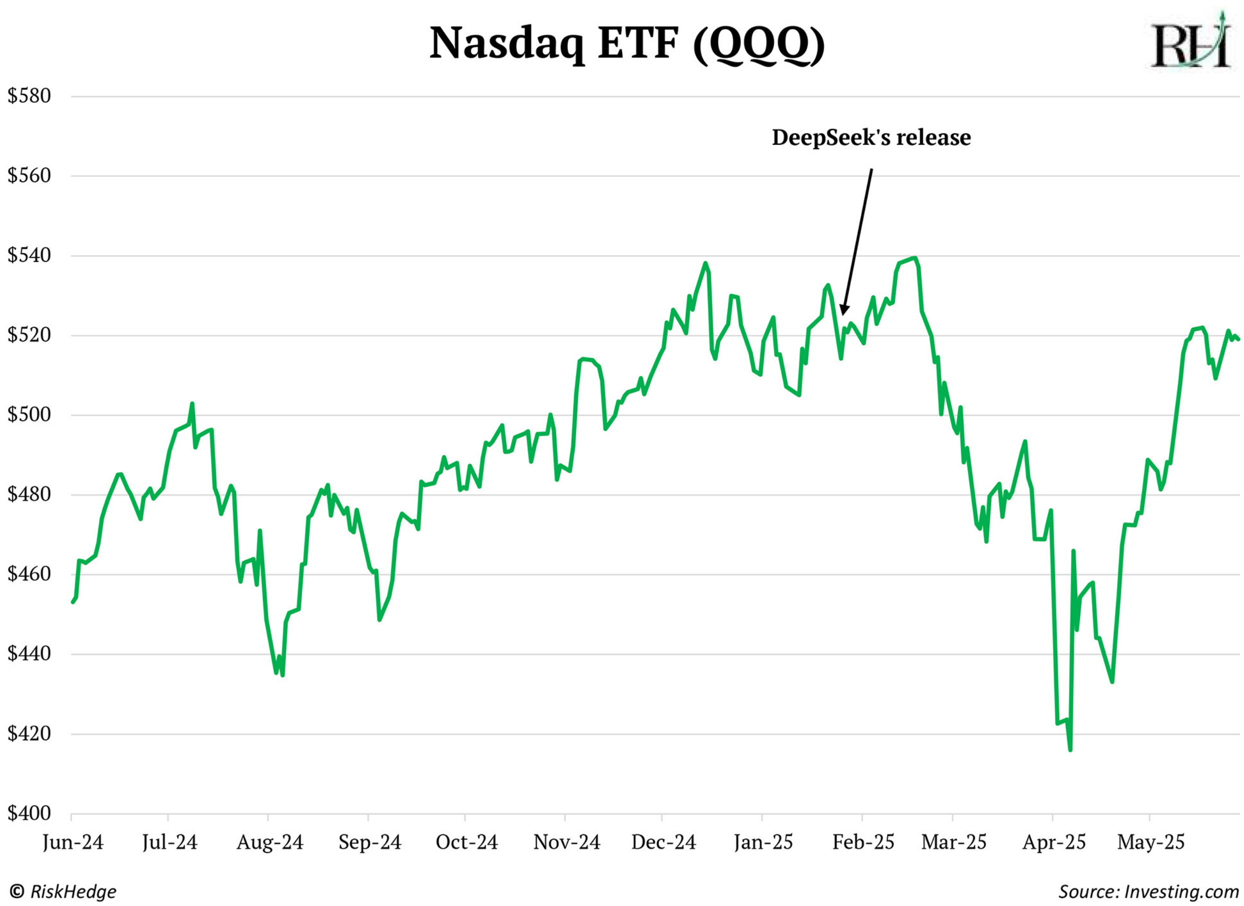
Let's rip through five key areas where China is racing ahead and what it means for investors.

#1: Artificial intelligence

Amidst all the noise of 2025—including tariffs, trade wars, and real wars—the constant signal for investors has been artificial intelligence (AI).

We've discussed Chinese AI company DeepSeek multiple times. Its AI model rivals top Western models yet costs 90% less to run than ChatGPT.

The Nasdaq, which surged higher on the back of AI optimism over the past few years, peaked within a few days of DeepSeek's release:



DeepSeek isn't the best AI model. I use AI all day, every day. Yet I rarely use DeepSeek, as the latest ChatGPT and Gemini models are superior.

But before DeepSeek, the assumption was big models = big wallets. Only big tech companies with deep pockets could afford to train top models. DeepSeek showed smart architecture beats brute force. Suddenly, startups with clever engineering could go toe to toe with tech giants.

As we discussed back in March, this evaporated big tech's "AI premium." **Microsoft (MSFT)** is the only big tech stock trading above its pre-DeepSeek level.

The fact that DeepSeek is open source and free to download is also a big problem for US AI giants. **Amazon (AMZN)**… **Alphabet (GOOGL)**… **Meta Platforms (META)**… **Oracle Corp. (ORCL)**… and Microsoft will plough roughly $300 billion into AI data centers this year alone.

Their strategy is "spend gobs of money now so we can build the best AI and make many times our money later in AI revenues."

Watertight idea, until China entered the fray. Many businesses will choose DeepSeek's free, "good enough" model instead of paying Alphabet or Microsoft millions of dollars a year.

In the short term, DeepSeek turbocharged demand for big tech's AI cloud services. You can access its model through Amazon's AWS, for example. But if DeepSeek adoption heats up and dents demand for AI models, big tech's AI spending could end up looking like a giant pile of money on fire.

My friend and Gavekal CEO Louis Gave told me, "The last thing you want to do in life is compete with China. When China enters a room, profits walk out."

In the West, companies focus on maximizing returns to shareholders. China plays the game of minimizing profits to kill its competitors. "Hunger Games" capitalism is a threat to your global portfolio.

I'm Irish, but consider myself a de facto American. As a student of history, one thing I worry about is China racing ahead of America in AI adoption.

In the 19th century, Europe led scientific innovation. But America, the hungry upstart, excelled at deploying those innovations at scale and reaping the rewards.

Today, America is in Europe's former position.

The US invented lithium batteries, solar, electric vehicles (EVs), drones, nuclear energy, and AI. But China is exploiting them to the fullest. From hospitals to public service bots, DeepSeek is being embedded into products all over China.

Let's not get lazy and make sure the USA stays #1.

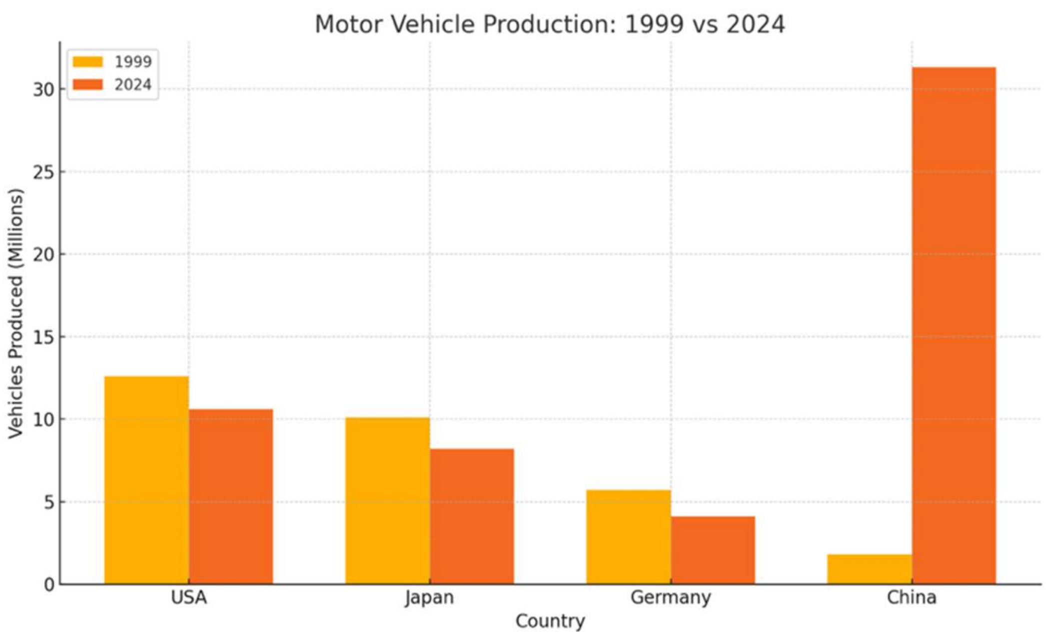
#2: Electric vehicles and batteries

American muscle cars. Quality German engineering. Cheap Japanese imports. This is what I envision when I think about cars.

Everyone knew China couldn't produce cars. Right? Right… until the shift toward EVs upended the global auto industry.

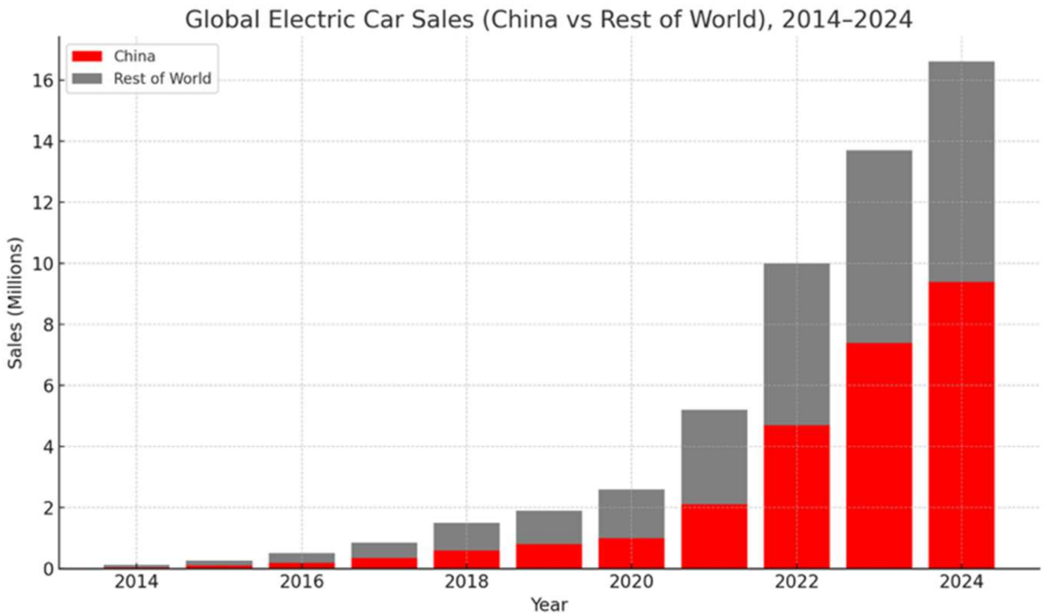
Over the past 25 years, auto production in the US, Germany, and Japan has fallen 20%+.

Meanwhile, China's output surged 1,600%. China already massacred the legacy auto industry; they just don't know it yet.



Source: Created by ChatGPT

EV sales hit a record 17 million last year, of which 11 million were sold in China. More battery-powered cars were sold in China than the rest of the world combined!



Source: Created by ChatGPT

I always find it funny that China is such an enigma. It's home to 1.4 billion people, with millions more dotted across the world. Yet it's as if no one truly knows what goes on within its borders.

What's great about EVs is that you don't have to take anyone's word for them. You can kick the tires on Chinese cars.

Here in Ireland, I had never seen a single Chinese car until recently. Now, **BYDs (BYDDY)** are everywhere, fresh off the assembly line. Every taxi driver I talk to who owns one loves it and tells me they'll never buy another gas guzzler again.

"Why BYD?" I ask. Because they're half the price of a **Tesla (TSLA)**.

No wonder BYD, which stands for "Build Your Dreams" (awesome name), just outsold Tesla in Europe for the first time.

The scale of BYD is hard to wrap your head around. Its largest factory in Zhengzhou, China, spans over 50 square miles—bigger than San Francisco.

Source: Business Today

Chris and I believe EVs could end up resembling the smartphone market.

Tesla will continue to be #1 for Western consumers, like the iPhone today. Meanwhile, China will flood the world with cheap ~~Android phones~~ battery-powered cars.

But cheap doesn't mean "bad." In many cases, Chinese EVs are *better*. Xiaomi's SU7 sedan, complete with self-parking and built-in AI, rivals Porsche's Taycan in performance yet sells for half the price.

Don't just take my word for it. Following a recent visit to China, **Ford's (F)** CEO noted one of the company's biggest hurdles is now matching the quality of Chinese manufacturing.

BYD recently unveiled a lineup of EVs that can charge almost as fast as it takes to refuel a regular car. In tests on its new sedan, its new charging system could provide 249 miles of range in five minutes. This is what transforming from copycat to leader looks like.

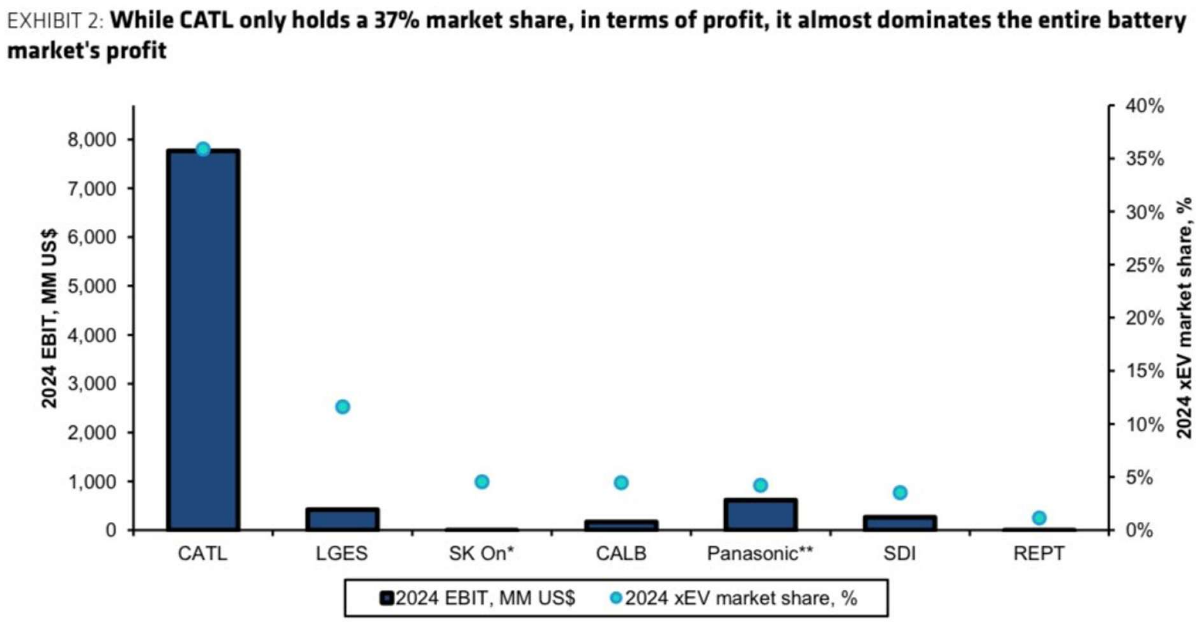
Back in March, Louis Gave tipped us off that CATL—the world's biggest battery maker—was due to IPO in Hong Kong. CATL listed a few weeks ago. If you have access to the Hong Kong markets, you can now buy its stock.

CATL controls 40% of the EV battery market. It supplies 16 of the world's biggest carmakers, including **General Motors (GM)** and the Shanghai factory of Tesla.

Its latest batteries can reach up to 1,500 km on a full charge. That's New York to New Orleans on a single tank!

When we started looking into the battery market a few years ago, there were a few major players like Panasonic, LG, and SK Innovation vying for the top spot.

Now, China dominates the market, with 90% of industry profits captured by CATL:



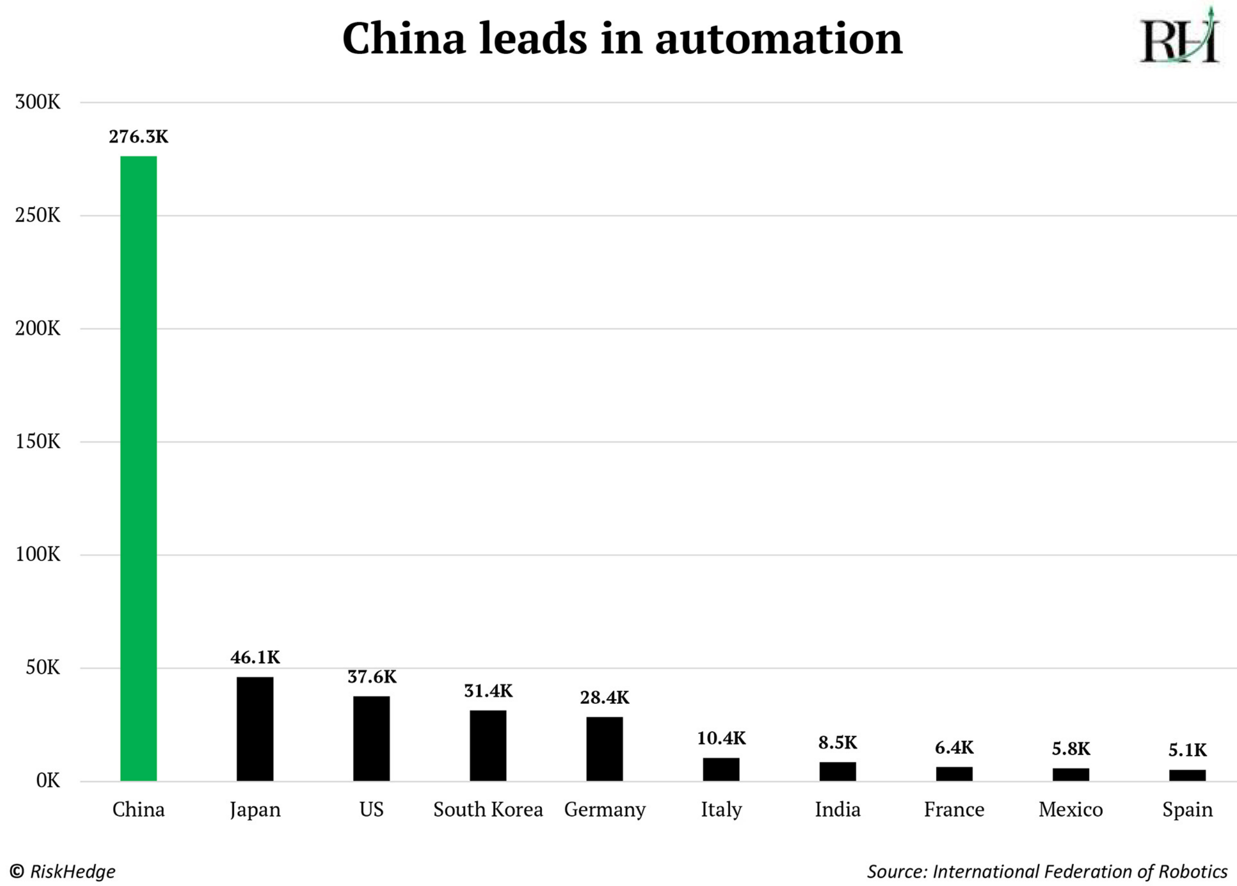
Source: @corry_wang on X

Elon Musk's Tesla is the only automaker that can compete with the Chinese.

That's because it's the only automaker that has fully embraced robotics and continues to drive down costs. Speaking of which…

#3: Robotics

In 2023, China installed more industrial robotics than the rest of the world combined. And it wasn't close.



The thing people get wrong about "Made in China" is that its advantage isn't cheap labor. It's automation.

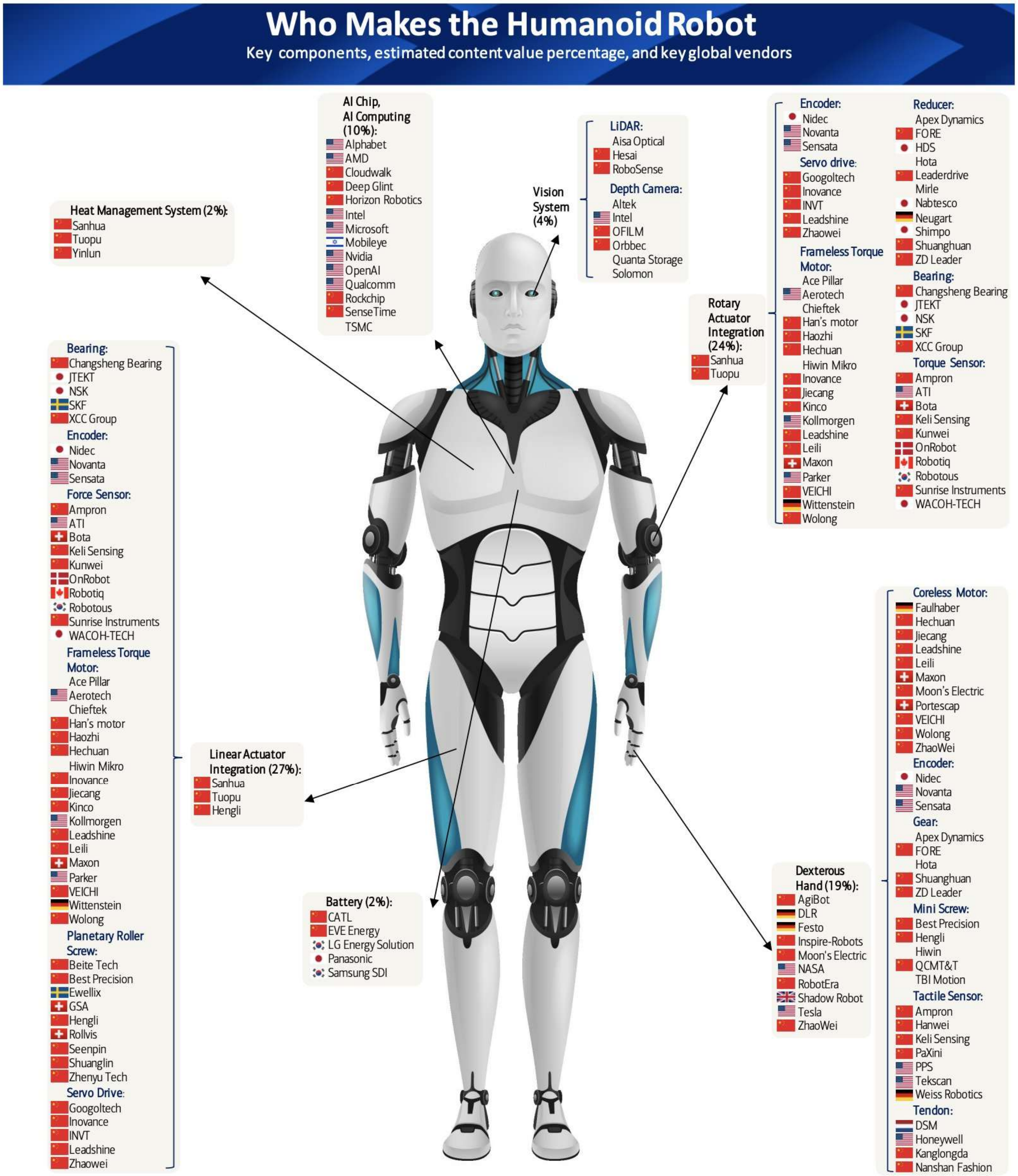
In a 2017 *Fortune* interview, **Apple (AAPL)** CEO Tim Cook said:

> The popular conception is that companies come to China because of low labor cost… But the truth is, China stopped being a low-labor-cost country many years ago. The reason is because of the quantity of skill in one location.

In some BYD factories, robots outnumber humans on each shift. Several Chinese firms are also building "dark factories." These are fully automated facilities that operate without human workers, so they don't even need lights!

It's also racing ahead in creating humanoid robots. Check out this graph from **Bank of America Corp. (BAC)** showing leading robotics parts makers.

Notice the sea of Chinese flags?



Source: Bank of America

Sean Maher, founder of London-based investment research firm Entext, is fresh off a three-week tour of Chinese factories. He said:

> Robotic components, planetary gears, and motors [are] 50%–60% cheaper in China… Everyone will come to China for these parts. The next leg of AI in China is much more nuanced, and much more investable.

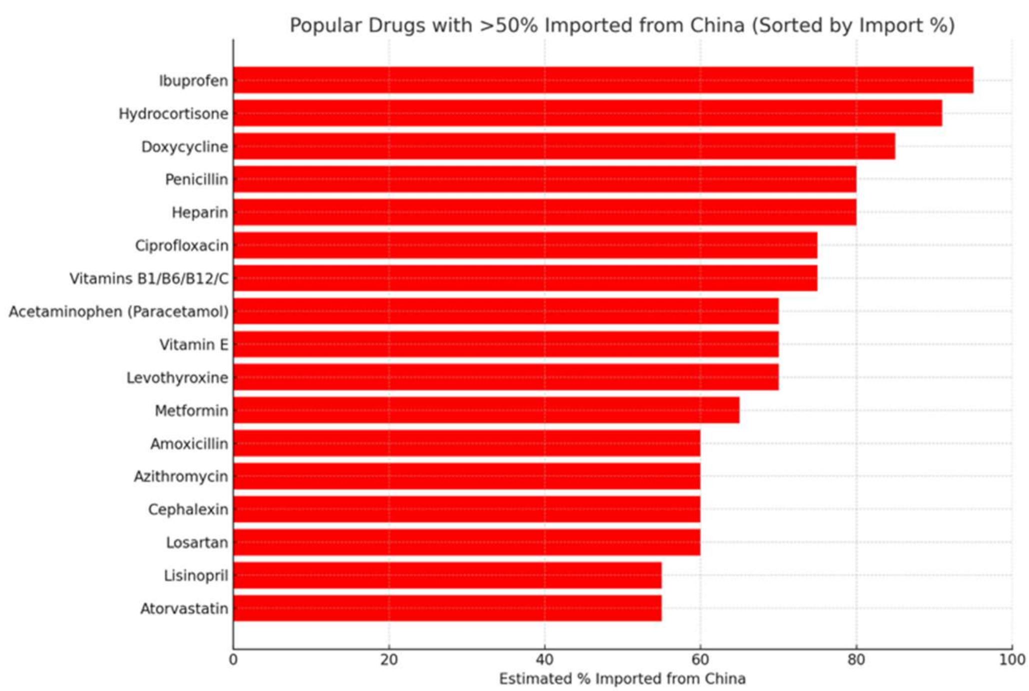
I love the idea of reindustrializing America. But tariffs and trade barriers aren't how we get the Rust Belt back up and running.

The only way to beat China is to triple down on innovation so we can make things better… faster… and cheaper. We need another industrial revolution. Robotics is the way.

#4: Biotech

Remember during the pandemic when you couldn't get your hands on Ibuprofen and some antibiotics for love or money?

That was because 80%+ of many popular drugs are imported from China:



Source: Created by ChatGPT

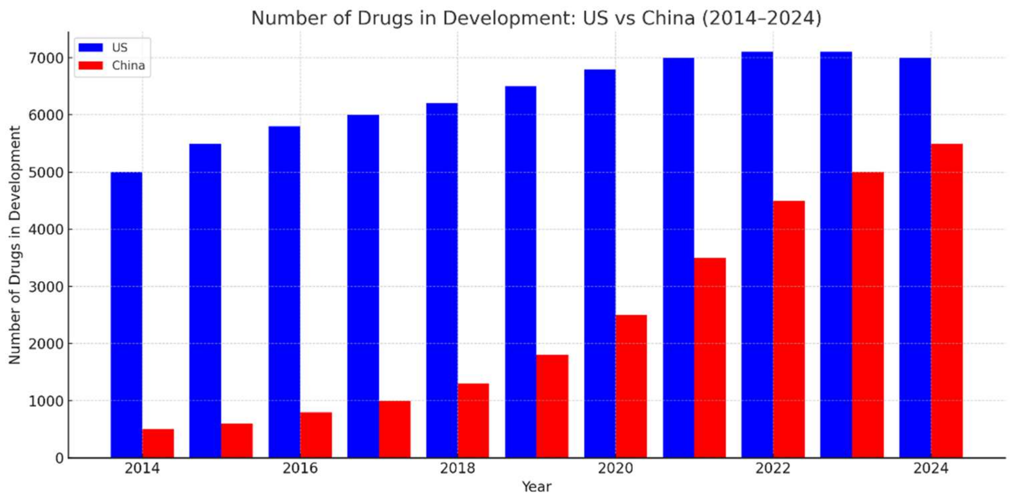
China pumps out cheap toys and electronics. It also dominates the manufacturing of generic "off-brand" drugs. Now, in classic China fashion, it's moving up the value chain.

Cancer medicine Keytruda ranks among the most lucrative drugs ever sold. Since its launch a decade ago, it's raked in more than $130 billion for US drug giant **Merck & Co. (MRK)**.

Last September, an experimental drug did what none had done before. In late-stage trials for lung cancer, it nearly doubled the time patients lived without the disease getting worse.

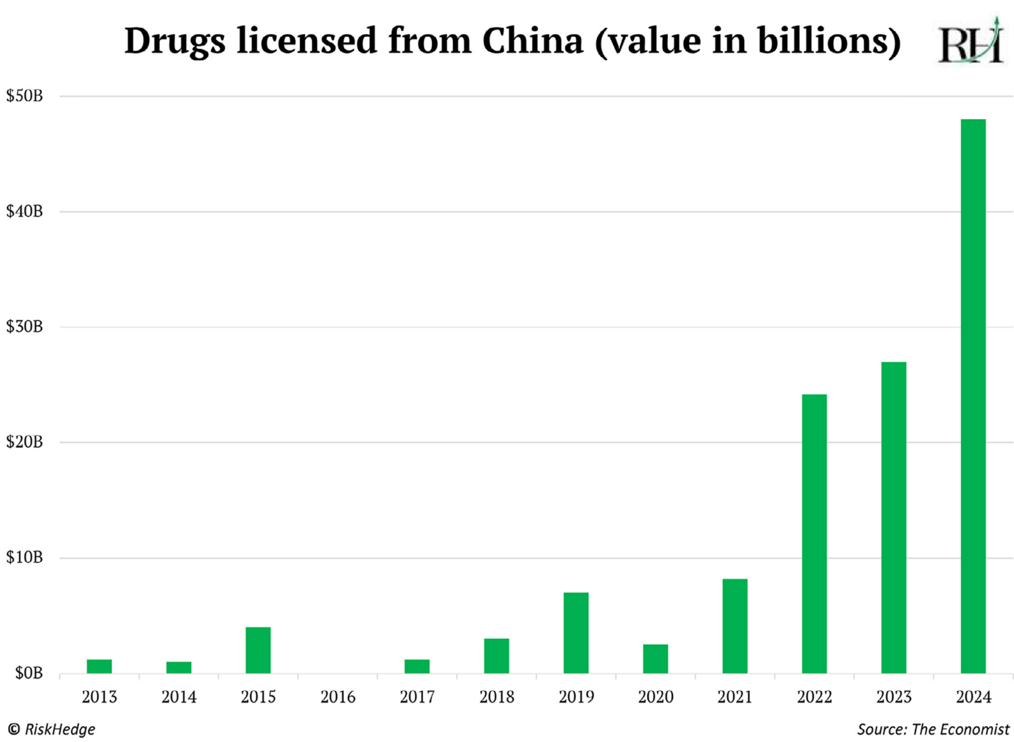
The company behind those stunning results? Chinese firm Akeso.

America still leads the world in drug development, but China is catching up fast:



Source: Created by ChatGPT

The value of drugs licensed from China hit almost $50 billion last year, up from less than $5 billion in 2020:



Biotech is hands down one of the most exciting and important disruptions. But it's been a dumpster fire for investors. Biotech stocks have been dead money for a decade. The fact that China is now entering the industry won't make it any easier.

There's that threat to your global portfolio again.

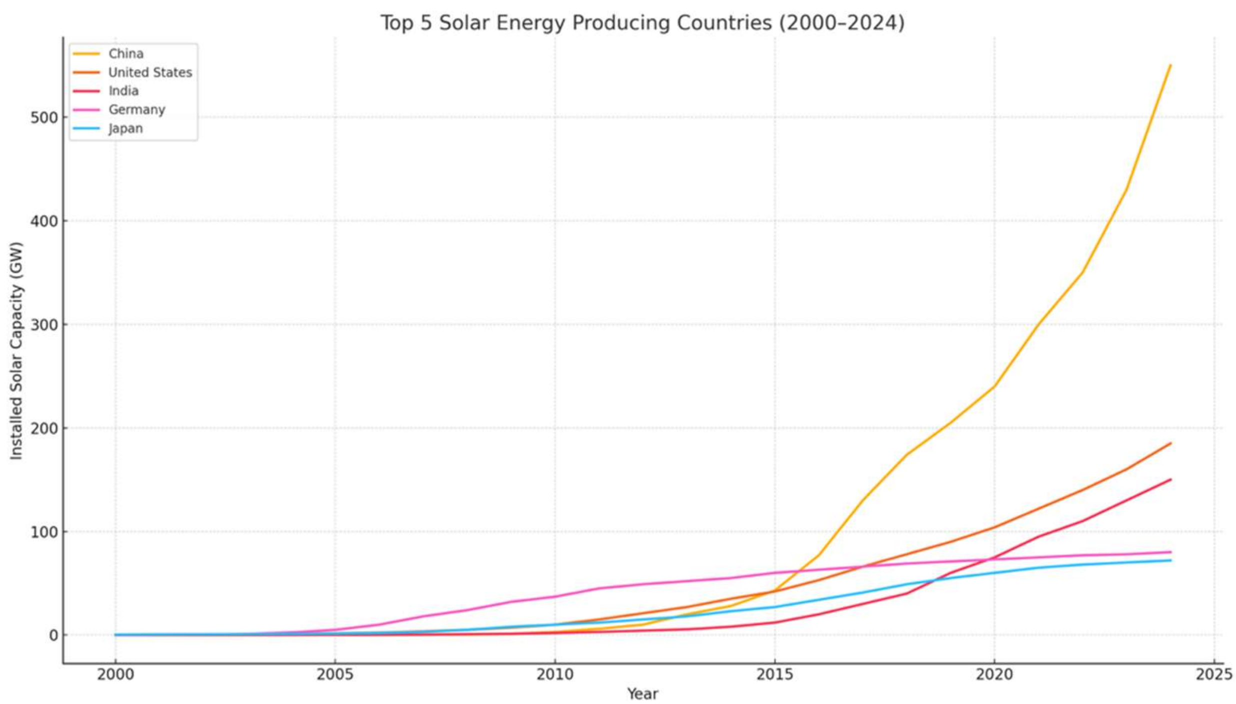
#5: Energy

Energy is the master resource. Cheap, abundant energy is the bedrock of all innovation.

When power is cheap, everything goes on sale. Factories can produce more. Businesses make more money. It's like handing out stimulus checks to the entire economy.

Too many people treat energy like a team sport. Solar vs. nuclear. Renewables vs. fossil fuels. Why do you have to pick sides? I'm an "all of the above" kind of guy. Give me all the energy! That's China's approach, too.

China is the world's largest importer of oil, and it burns a ton of coal. But did you know it's the world's largest producer of solar power, too?



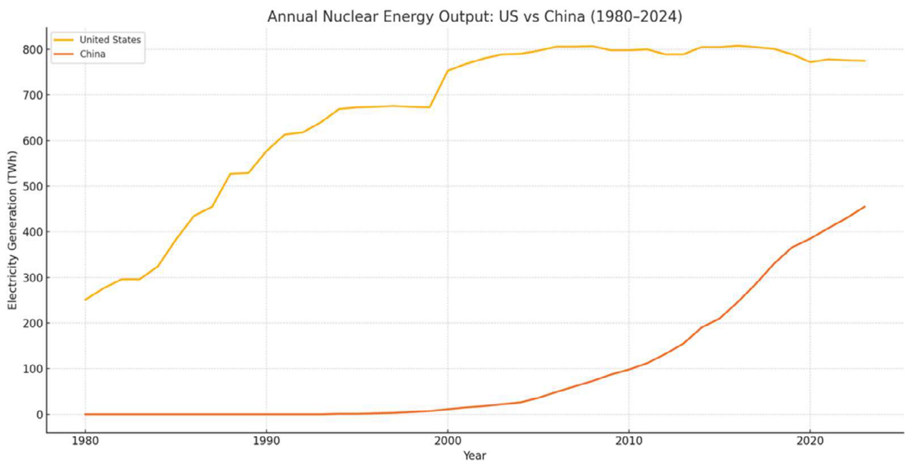
Source: Created by ChatGPT

China installed more solar capacity last year than the US has installed throughout history. Cheap energy + robotics = an unbeatable combo when it comes to manufacturing.

China is racing ahead in nuclear energy, too.

China just approved plans to build 10 new nuclear units for $27 billion. Those 10 new reactors cost less than the $35 billion America paid for its two newest reactors, which took 15 years to finish.

With 58 reactors currently operating and another 28 being built, China's nuclear fleet is on track to leapfrog America's by 2030:



Source: Created by ChatGPT

China isn't just copying but innovating by building the world's first small modular reactor (SMR).

Check out this 550-ton outer dome being hoisted in place last year at the construction site of the world's first SMR in China:

Source: Bloomberg

It was also reported that China recently built a new thorium molten-salt reactor (instead of uranium) in the Gobi Desert.

It's the world's first reactor that can be refueled while in operation. Traditional reactors generally need to be stopped to replenish the fuel supply.

A new era of opportunity just opened up

For the past 15 years, the US was the only game in town when it came to disruption investing. US companies dominated all the most important innovations.

Now, there's a new bull market in Chinese innovation. The fact that the world's second-largest economy—the place where half the world's AI researchers come from—just came online thrills me!

Again, this isn't a "sell America" call. I believe China's entrance onto the innovation stage will create even more opportunities at home.

When I asked Ian Cinnamon, founder of Apex Space, what he's excited about on a recent trip to LA, he said, "Chinese competition."

America made a lot of dumb decisions over the past few decades when it came to innovation. Banning supersonic flight. Making it impossible to build nuclear plants. Kneecapping drones by requiring a pilot's licence to operate them.

We made these silly decisions because we could afford to. America was the undisputed #1.

Now that China is leading in many innovations, it'll force America to move fast. A more competitive global tech landscape is ultimately good for humanity and accelerates innovation overall.

Most investors are overlooking this dual dynamic: A rising China and a re-energized America. That's where our big opportunity lies.

As a dad with three young kids and as an investor, this excites me. It'll mean a better world for us and our little ones.

The bottom line is that China is cheap, hated, and in an uptrend. The risk-reward for Chinese stocks looks increasingly attractive. It feels like the early innings of a new bull market.

US companies outpaced the rest of the world because they dominated innovation, which creates more positive surprises. One of the biggest future surprises will be investors waking up to the reality that China is transforming into a global tech leader.

As my friend Jawad Mian, author of *Stray Reflections*, said during a recent talk:

> Nothing changes sentiment like price… In 2012, nobody wanted to touch America, and now everyone does. The same dynamic could happen with China. The most non-obvious or difficult trade now is accepting that China needs to be an allocation.

You don't have to go all in, but it's time to put on your investor hat, look at China with open eyes, and consider whether a slice of it belongs in your portfolio before the crowd catches on.

With that, I'll hand you off to Chris to tell you about a little-known, yet vitally important, disruptor closer to home…

The other side of the cybersecurity coin

In our digital world, when software fails, real life stops working:

- You can't order food delivery.
- Banks can't process payments.
- Hospitals can't access patient records.
- Students can't attend online classes.

Today, I (Chris Wood) will introduce you to a fast-growing, highly profitable company operating behind the scenes to prevent such disruptions and keep our digital world running smoothly.

It's possible thanks to a technology I like to think of as the other side of the cybersecurity coin.

Just like cybersecurity before it, this tech is quickly moving from "nice to have" to "must have" for countless organizations. And it's only becoming more important and valuable with the rise of AI.

The company I'm recommending to capitalize on this opportunity stands above its peers because of its early focus to embed AI throughout its tech platform. Today, it's one of the few firms already making big money from the application of AI.

Here's the story…

Think about when you tap the "order" button on a popular app or website like Amazon or Uber Eats. It seems simple—like pressing a button to get a snack from a vending machine.

But behind the scenes, it triggers a complex chain of events involving dozens of different systems and processes that all need to work together perfectly to fill your order.

After your device sends the request over the internet to the company's servers, your order details (items, address, payment info, etc.) are handed off to a team of specialized software services.

These "microservices" are like mini programs each in charge of a specific task. Think of it like an assembly line where each person has a role.

For example, there's…

- A shopping cart service to keep track of the items you want to buy.
- An inventory service to check if the items are in stock.
- A payment service to charge your credit card and process the digital payment.
- A shipping/delivery service to calculate delivery cost and estimated time.
- A notification service to confirm your purchase via text or email.
- A recommendation service to log what you bought and update recommendations for you.
- A review or feedback service that works like a follow-up call or survey after you've received your order.

And there's even more that goes on behind the scenes.

All these software microservices are typically running on different servers in data centers owned by multiple cloud computing providers. Modern enterprises use all these microservices so each component of the system can be developed and scaled separately.

For example, the company can improve the payment service or inventory system independently without messing with the rest. It's efficient—like having specialized departments in a company—but it also introduces a lot of complexity, because all the different pieces of software must communicate quickly and reliably to fill your order.

And this is just one side of an enterprise's digital operations. A mid-to-large organization with a few hundred employees will also have different software solutions for things like:

- Customer relationship management
- Enterprise resource planning
- Human resources

- Accounting
- Project management
- Communication platforms
- Industry-specific tools

They may also use multiple tools within a single category, custom-built applications, and both cloud-based software-as-a-service and on-premises software.

While the exact number can vary significantly, a typical modern enterprise uses about 250 different software solutions to run the digital side of its business.

With so many moving digital parts, countless things can go wrong, causing the app/site to slow down, function incorrectly, or crash completely. This is known as “downtime.”

Every second of downtime hurts, both in terms of dollars and reputation.

When a company’s app or site isn’t working right, it’s losing money every second and angering customers at the same time. The costs add up quickly, both in immediate lost sales and in longer-term damage.

A recent study by Oxford Economics and **Cisco Systems (CSCO)** subsidiary Splunk calculated that downtime costs the world’s top 2,000 companies about $400 billion a year.

That works out to $200 million per company per year, or roughly 9% of profits according to the study. Meanwhile, “every minute of downtime costs an average of $9,000, or $540,000 per hour.”

And that’s just direct costs. Hidden costs—like a dip in stock price, delayed time to market that creates an opening for competitors to lure customers away, and a tarnished brand that erodes customer and investor trust—also make sizeable and potentially long-term dents in the business.

About half of all downtime comes from traditional cybersecurity-related events like phishing and malware. The other half comes from application and infrastructure-related events mostly caused by software failures and misconfigurations.

That’s why I referred to the tech I’m introducing today, which helps keep our digital world running smoothly, as “the other side of the cybersecurity coin.”

You need both traditional cybersecurity and the other side of the coin—called **“observability” technology**—to protect your business.

From “nice to have” to “must have”

Think of running a business like running a large building or facility.

Cybersecurity is like having strong locks on the doors, security cameras, and guards—it protects the facility from bad guys trying to attack it.

Observability tech is like having a full set of building maintenance sensors and a control room—it monitors the electrical systems, the plumbing, the temperature, and sounds an alarm if a pipe is leaking or if there’s a risk of fire.

In a well-run facility, you need both kinds of protection.

In other words, observability technology and cybersecurity solutions serve parallel roles in keeping a business safe and operational. Cybersecurity protects against deliberate attacks. Observability protects against accidental failures and breakdowns.

That’s why observability tech—like cybersecurity tech before it—is quickly evolving from something companies considered “nice to have” into something they “must have” to run their businesses.

In simple terms, observability means having the ability to see what’s going on inside your digital systems at all times.

Observability platforms collect telemetry data—things like logs (detailed records of events), metrics (measurements like CPU or GPU usage and response times), and traces (the paths of specific transactions)—from a company’s IT assets on-premises and in the cloud.

They then analyze this data to tell you if something is wrong or might go wrong soon and where it will happen. It’s like a 24/7 monitoring center for the health of a company’s applications and infrastructure.

With these tools, companies can pinpoint the cause of a problem quickly. This is crucial in a complex system where an issue in one small piece of software can cascade into major downtime if not spotted and fixed immediately.

Meanwhile, as I mentioned earlier, observability tech is only becoming more important and valuable with the rise of AI.

Earlier, I alluded to the growing complexity of modern enterprise software and IT ecosystems—with hundreds of different software solutions running on dozens of servers owned by multiple cloud providers in data centers all over the world.

AI adds another layer of complexity to these IT environments.

See, AI workloads are quite different from traditional business software workloads. They involve huge volumes of data and unpredictable processing patterns.

Dave Link, CEO and co-founder of IT software and service vendor ScienceLogic says, "AI workloads don't just stretch existing IT infrastructure—they break the mold entirely, introducing new bottlenecks, unpredictable behaviors, and hidden risks."

AI can make decisions on its own, but companies need to understand what it's doing and why—especially if it starts acting weird—to prevent revenue loss and reputation damage from downtime it could trigger.

And sophisticated observability technology is the only thing capable of monitoring AI (and its interactions with other software) in these environments.

It's no wonder why the Cloud Native Computing Foundation's chief technology officer Chris Aniszczyk recently said, **"Observability has shifted from a 'nice to have' to a 'must have' for modern software teams."**

It's also why Market Research Future expects the Observability Tools and Platforms market to grow from $28.2 billion in 2025 to $137.8 billion by 2034, reflecting a compound annual growth rate of 19.3%.

We're going to capitalize on this enormous opportunity by investing in **Dynatrace (DT)**, the global leader in observability.

An AI-first competitive advantage

Dynatrace stands out because of fundamental technology advantages competitors can't match. One of the company's key differentiators is its data lakehouse, Grail.

Think of Grail as the world's most sophisticated evidence room, where every piece of information is automatically tagged with its relationships to every other piece of information.

When a problem occurs, instead of sending IT teams on a scavenger hunt across multiple systems to piece together what happened—which is how other observability platforms work—Grail enables Dynatrace's platform to instantly show the complete story of what happened, why it happened, and how everything is connected.

That means Dynatrace customers can solve problems faster and reduce downtime, better protecting revenue and reputation.

Another major differentiator is Dynatrace's Davis AI engine. Unlike competitors that are using AI as an add-on for specific features, Dynatrace leaned into AI early and built its observability platform with AI at its core.

More recently, the company supercharged the platform with a generative AI assistant called Davis Copilot, and it's working on supercharging the platform further with agentic AI.

If generative AI is like an assistant that can answer questions and draft content, agentic AI is like an autonomous worker to whom you can delegate tasks.

The Davis AI Copilot allows the platform to understand and act on commands from non-technical users in plain English like, “Show me the performance of our login service this week and tell me if anything looks abnormal.”

When agentic AI is incorporated into the system, it will be able to successfully act on commands like, “Please monitor my entire infrastructure, and if anything looks wrong, fix it under these guidelines.”

Because Dynatrace built its observability platform with AI at its core, it’s much more automated than other platforms. This allows it to not only alert customers to problems with their software applications and infrastructure, but also advise and act to resolve many of these problems autonomously.

This drastically reduces downtime and effort, saving money on labor and protecting revenue and brand reputation. For example, the business software giant SAP reduced its “mean time to resolution” of issues by 60% after adopting Dynatrace’s platform.

What’s more, Dynatrace’s leadership in observability is recognized by the world’s most respected third parties.

Leading tech advisory firm Gartner has named Dynatrace the leader in its Magic Quadrant for Observability Platforms 14 consecutive times, ranking it highest for both “completeness of vision” and “ability to execute.”

Source: Gartner

And market research firm Forrester Research ranks Dynatrace as the leader in AI for IT operations.

Source: Forrester Research

Put simply, Dynatrace has built a “better mousetrap” for observability. And the world is already taking notice.

I expect that recognition to grow fast as the fundamental advantages of its tech platform become even more pronounced with the rise of AI.

Dynatrace grew revenue at a robust 18.7% over the past year. I expect that annual growth rate to accelerate to about 25% over the next three years as the company adds business faster than the broader observability market.

Meanwhile, in the past year, Dynatrace generated revenue of $1.7 billion, net income of $483.7 million (or $1.60 per share), and Real Cash Flow of $158.9 million (or $0.53 per share).

With a current market cap of $16.3 billion, I wouldn't call the stock cheap in traditional value-investing terms. But considering the acceleration in growth I expect on both the top and bottom lines over the next few years, I'd still say the stock is attractively priced today.

Action to take: Buy Dynatrace (DT) at current market prices and set a 25% hard stop.

For the most up-to-date guidance on our current positions, click here to view the portfolio online.

Chris Wood Stephen McBride

Chris Wood and Stephen McBride